

Quant Daily Digest

■ Daily Overview

Macro & Sentiment Heightened geopolitical tensions in the Strait of Hormuz have injected fresh volatility into oil markets and risk sentiment. U.S. and Iranian forces exchanged fire, with mutual accusations over who initiated the conflict, undermining confidence in the fragile US-Iran détente. Concurrently, suspiciously timed oil trades preceding peace deal news have raised red flags among quant traders, suggesting potential information asymmetry or front-running. This backdrop keeps energy and geopolitical risk premiums elevated, pressuring risk assets and safe havens alike. Meanwhile, AI-driven innovation continues to reshape market dynamics, with new fully automated AI trading bots launching, signaling accelerating adoption of algorithmic strategies in both crypto and equities. Equities / Rates Equity markets show bifurcated reactions: Uber's stock surged 10% despite missing revenue targets, reflecting a market pricing in structural growth or strategic repositioning beyond near-term fundamentals. Conversely, Cloudflare's shares plunged 18% post-earnings amid a 20% workforce cut driven by AI transformation, highlighting sector-specific disruption risks. Rates remain sensitive to geopolitical risk and inflation expectations tied to energy price volatility. Market participants should watch for shifts in yield curves as central banks weigh the inflation impact of geopolitical shocks against growth concerns. FX & Commodities Oil prices remain volatile amid Strait of Hormuz tensions and suspicious trading activity, complicating quant models reliant on stable commodity signals. The USD may see safe-haven support, but elevated uncertainty could spur cross-asset correlations and increased FX volatility. What to Watch • Developments in US-Iran relations and Strait of Hormuz security incidents • Market impact and adoption rates of new AI-driven automated trading bots (MoneyFlare, BitsStrategy) • Earnings and strategic updates from tech firms navigating AI-driven workforce and business model changes (e.g., Cloudflare)

■ Hot List

Online sleuths are raising more red flags around suspiciously timed Iran-war oil trades

Recent reports highlight suspiciously timed oil trades coinciding with news of a potential US-Iran peace deal, raising concerns among market participants. These trades appear to be strategically placed ahead of public announcements, suggesting possible insider information or market manipulation. The unusual price action in oil futures and spot markets has drawn scrutiny from both professional investors and online analysts. This activity could impact market flows and volatility, particularly in energy sectors sensitive to geopolitical developments. Monitoring positioning and volume spikes around such geopolitical events is becoming increasingly critical for quant strategies.

Read more: <https://www.businessinsider.com/oil-us-iran-peace-war-news-latest-short-markets-2026-5>

Business Insider

MoneyFlare Launches Revolutionary AI Trading Bot to Help Users Seize the Future of Automated Trading in 2026

MoneyFlare has introduced a new AI Trading Bot designed for fully automated crypto and stock trading, leveraging advanced AI algorithms and quantitative trading models. The platform offers a fully managed execution system aimed at accelerating user entry into the automated trading market

projected for 2026. This development highlights growing integration of AI-driven strategies in retail and institutional trading, potentially impacting market flows and liquidity. The bot's quantitative approach may influence positioning by enabling faster, data-driven trade execution. Market participants should monitor adoption rates and performance metrics as AI tools increasingly shape trading dynamics.

Read more: <https://www.globenewswire.com/news-release/2026/05/06/3289075/0/en/MoneyFlare-Launches-Revolutionary-AI-Trading-Bot-to-Help-Users-Seize-the-Future-of-Automated-Trading-in-2026.html>

GlobeNewswire

Uber missed its revenue target. The stock jumped 10 per cent. Wall Street is pricing a different company.

Uber missed its revenue target for Q1 2026, yet its stock surged 10%, indicating a disconnect between traditional earnings expectations and market sentiment. This price action suggests investors are valuing Uber beyond current revenue metrics, possibly pricing in future growth drivers like autonomous vehicle technology and increased demand acceleration. The market appears to be repositioning, focusing on Uber's long-term potential rather than short-term financial misses. This shift highlights evolving investor positioning and flow dynamics, where growth narratives and innovation prospects outweigh immediate earnings data. The divergence underscores a nuanced market view on Uber's strategic trajectory.

Read more: <https://thenextweb.com/news/uber-q1-2026-earnings-autonomous-demand-acceleration/>

The Next Web

U.S. and Iran trade fire in Strait of Hormuz; each claims other shot first

Tensions escalated in the Strait of Hormuz as U.S. and Iranian forces exchanged fire, with each side accusing the other of initiating the attack. The U.S. Central Command (CENTCOM) did not clarify the status of the existing U.S.-Iran ceasefire, which has been under strain due to multiple alleged violations. This incident adds uncertainty to the geopolitical landscape, potentially impacting oil supply routes and market volatility. Traders may see increased risk premiums in energy markets and heightened demand for safe-haven assets. Monitoring positioning in oil futures and geopolitical risk indicators will be crucial for quant strategies.

Read more: <https://www.cnn.com/2026/05/07/iran-war-hormuz-strait-ceasefire-trump.html>

US Top News and Analysis

Cloudflare stock sinks 18% after earnings as company cuts 1,100 employees due to AI changes

Cloudflare shares dropped 18% following its Q1 2026 earnings report, driven by the announcement of a 20% workforce reduction, equating to 1,100 layoffs. The company cited transformative impacts from agentic artificial intelligence on its operations as the primary reason for the cuts. This significant restructuring signals a strategic pivot in response to AI-driven efficiency gains, potentially affecting future revenue growth and cost structures. The sharp stock decline reflects investor concerns over near-term disruptions and the broader implications of AI on Cloudflare's business model and market positioning. Market participants should monitor subsequent earnings and guidance for further clarity on AI integration and cost management.

Read more: <https://www.cnn.com/2026/05/07/cloudflare-net-q1-2026-stock-earnings-layoffs.html>

Here's what to expect from Friday's release of the April jobs report

The upcoming April jobs report is expected to show a labor market that remains stable and resilient despite signs of cooling. Key data points to watch include nonfarm payrolls, unemployment rate, and wage growth, which will provide insights into the strength of the labor market amid ongoing economic challenges. Market participants will closely analyze these figures for indications of future Federal Reserve policy moves, particularly regarding interest rate adjustments. Any surprises in job creation or wage inflation could impact equity and bond market positioning, influencing risk sentiment and yield curves. Overall, the report will be pivotal for assessing the balance between economic growth and inflation pressures.

Read more: <https://www.cnbc.com/2026/05/07/heres-what-to-expect-from-fridays-release-of-the-april-jobs-report.html>

US Top News and Analysis

CoreWeave stock sinks 10% on weak revenue guidance, increased spending forecast

CoreWeave shares dropped 10% following weak revenue guidance and an increased spending forecast. The company is investing heavily in data center expansion, funded through rising debt levels. Despite the cautious outlook, S&P; upgraded CoreWeave's credit rating, reflecting confidence in its financial stability. The stock's decline suggests investor concern over near-term profitability amid aggressive capital expenditure. Market participants should monitor CoreWeave's debt servicing capacity and revenue trajectory as key indicators for future positioning.

Read more: <https://www.cnbc.com/2026/05/07/coreweave-crwv-q1-earnings-report-2026.html>

US Top News and Analysis

Coinbase posts steep first-quarter loss after slide in crypto prices; shares fall 4%

Coinbase reported a significant first-quarter loss, missing revenue estimates due to a decline in cryptocurrency prices. The platform's shares dropped 4% in after-hours trading following the earnings release. The loss reflects reduced trading volumes and lower transaction fees amid a bearish crypto market. This earnings miss highlights ongoing volatility and risk in crypto-related equities, impacting market sentiment and positioning. Investors may reassess exposure to crypto platforms given the continued pressure on revenue streams tied to digital asset price movements.

Read more: <https://www.cnbc.com/2026/05/07/coinbase-coin-earnings-q1-2026.html>

US Top News and Analysis

Stock market today: Dow, S&P; 500, Nasdaq futures slip as Iran and the US ramp up Hormuz aggression

U.S. stock futures for the Dow, S&P; 500, and Nasdaq declined following renewed tensions between the U.S. and Iran over the Strait of Hormuz, reversing gains from earlier peace talks. The escalation in geopolitical risk prompted cautious investor sentiment, impacting market positioning and risk appetite. Energy prices saw volatility amid concerns over potential supply disruptions. The market's reaction

underscores sensitivity to geopolitical developments, with flows likely shifting towards safe-haven assets. Overall, the heightened uncertainty may influence short-term volatility and trading strategies in equity and commodity markets.

Read more: <https://finance.yahoo.com/markets/stocks/live/stock-market-today-friday-may-8-iran-us-attacks-232854074.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Small-Cap Stocks Are Plunging. Are Stalled Iran Negotiations Responsible?

Small-cap stocks, represented by the Russell 2000, reversed recent gains and dropped 1.6% after rallying over 3% in the previous two sessions. This pullback coincides with stalled Iran nuclear negotiations, which may be increasing geopolitical uncertainty and impacting risk sentiment. The broader market showed mixed reactions, with the S&P 500 and Nasdaq experiencing less pronounced moves. The decline in small caps suggests a shift in positioning away from higher-risk assets amid concerns over potential geopolitical disruptions and their economic implications. Market participants appear cautious, adjusting exposure in response to evolving global risk factors.

Read more: <https://www.fool.com/investing/2026/05/07/small-cap-stocks-are-plunging-are-stalled-iran-neg/?tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Dow Jones Futures Fall, Oil Prices Rise As U.S., Iran Clash; Rocket Lab, Cloudflare, IREN Are Big Earnings Movers Late

Dow Jones futures declined amid escalating tensions between the U.S. and Iran, which also pushed oil prices higher, reflecting geopolitical risk premiums. Despite the broader market weakness, tech giants Nvidia and Tesla showed resilience, supporting some market segments. Earnings reports from CoreWeave, Rocket Lab, Cloudflare, and IREN influenced late trading activity, highlighting sector-specific volatility. Market participants are now focused on the upcoming U.S. jobs report, which could impact Federal Reserve policy expectations and influence positioning. The combination of geopolitical uncertainty and key economic data is driving cautious investor sentiment and flow adjustments.

Read more: <https://finance.yahoo.com/m/adf66c9f-a0d5-3578-a650-888f3fd43cd8/dow-jones-futures-fall-oil.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Stock Market Today, May 7: Nokia Drops by 6% as Momentum Stalls

On May 7, 2026, Nokia shares declined by 6%, driven by profit-taking and a loss of momentum in European equities. The sell-off reflects broader concerns over AI sector valuations, impacting investor sentiment in telecom stocks. European markets showed signs of stalling after recent gains, with reduced buying flows and cautious positioning ahead of upcoming earnings. The pullback in Nokia highlights potential volatility in tech-related sectors amid shifting market dynamics. Overall, the price action suggests a pause in momentum, with investors reassessing risk amid valuation uncertainties.

Read more: <https://www.fool.com/coverage/stock-market-today/2026/05/07/stock-market-today-may-7-nokia-drops-by-6-as-momentum-stalls/?tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

The mysterious \$53bn 'other income' boost to AI hyperscaler earnings

AI hyperscalers reported a surprising \$53 billion boost in 'other income,' significantly inflating their earnings beyond core operational profits. This anomalous income, not tied to typical revenue streams, has raised questions about accounting practices and the sustainability of such gains. Market participants are scrutinizing the impact on valuation models, as these non-recurring items may distort earnings quality and future cash flow expectations. The surge in 'other income' has led to increased volatility in hyperscaler stocks, with quant funds adjusting factor exposures to account for potential earnings misrepresentation. This development underscores the need for refined data filters in quant strategies to isolate genuine growth signals from accounting anomalies.

Read more: <https://www.ft.com/content/be97df0a-76b1-4cb0-9ba4-d1117d8d1450>

Alphaville

Hungarian nepo-stocks: where are they now?

The article examines the performance of Hungarian "nepo-stocks," companies linked to politically connected individuals, highlighting their recent market trajectories. Many of these stocks experienced significant gains during periods of favorable government policies and state-backed contracts, reflecting strong domestic support. However, recent market data shows a divergence, with some names facing declines amid broader economic challenges and shifts in investor sentiment. Price action suggests increased volatility and potential repositioning by institutional investors wary of political risk. The piece underscores the importance of monitoring flows and positioning in politically sensitive markets like Hungary, where policy changes can swiftly impact valuations.

Read more: <https://www.ft.com/content/a931491a-3994-42ab-a207-071631f0c6dc>

Alphaville

■ Articles

nsefast 0.1.1

The release of nsefast 0.1.1 on Pypi.org introduces a fast, robots.txt-compliant data collector for NSE India market data, designed specifically for swing trading, quantitative research, and backtesting. This tool facilitates efficient extraction of market data, enabling quants and traders to analyze price action, flows, and positioning with greater speed and compliance. By streamlining data collection, nsefast supports enhanced modeling and strategy development based on NSE market dynamics. Its adherence to robots.txt ensures ethical data scraping, important for sustainable data sourcing in quantitative workflows.

Read more: <https://pypi.org/project/nsefast/0.1.1/>

Pypi.org

nsefast 0.1.0

The release of nsefast 0.1.0 on Pypi.org introduces a fast, robots.txt-compliant data collector specifically designed for the NSE India market. This tool facilitates efficient data extraction for swing trading, quantitative research, and backtesting, addressing the need for reliable and rapid market data access. By respecting website crawling policies, it ensures sustainable data flow without violating terms of service. The availability of such a tool can enhance algorithmic trading strategies and improve market positioning analysis by providing timely and accurate market data. This development is

significant for quants focusing on Indian equities and derivatives markets.

Read more: <https://pypi.org/project/nsefast/0.1.0/>

PyPI.org

nsefast added to PyPI

The new Python package "nsefast" has been added to PyPI, offering a fast and robots.txt-compliant data collector for NSE India market data. It is designed to support swing trading, quantitative research, and backtesting by providing efficient access to market data. This tool can enhance data acquisition workflows for quants and traders focusing on the Indian equity market, potentially improving model accuracy and trading strategies. Its compliance with web scraping norms ensures sustainable data flow without violating NSE's data policies. This addition may facilitate more robust and timely market analysis for users relying on NSE data.

Read more: <https://pypi.org/project/nsefast/>

PyPI.org

openllava added to PyPI

OpenLLaVA, an open-source multimodal vision injection framework designed for integration with any language model, has been added to PyPI. This development facilitates easier access and deployment for developers working on AI models that combine visual and textual data. While not directly impacting financial markets, the availability of such tools can accelerate advancements in AI-driven analytics and trading algorithms. Enhanced multimodal capabilities may improve sentiment analysis, image recognition in news feeds, and other quant strategies reliant on diverse data inputs. Market participants focusing on AI and machine learning could see indirect benefits from this technological progress.

Read more: <https://pypi.org/project/openllava/>

PyPI.org

quantnet-api 1.1.0.post3

The release of quantnet-api version 1.1.0.post3 introduces a web dashboard and REST API for the Quant-Net quantum networking platform. This update enhances accessibility and integration capabilities for users leveraging quantum networking in financial markets. Improved API functionality can facilitate more efficient data retrieval and real-time analytics, potentially benefiting quant strategies reliant on cutting-edge quantum computing infrastructure. While not directly impacting market prices or flows, this development signals growing adoption of quantum technologies in quantitative finance. Market participants focusing on quantum computing advancements should monitor further updates for potential trading edge.

Read more: <https://pypi.org/project/quantnet-api/1.1.0.post3/>

PyPI.org

A Dispatch From the AI Psychosis Summit

The AI Psychosis Summit in NYC gathered developers, coders, and digital artists focused on artificial intelligence advancements. While the event highlighted enthusiasm for AI innovation, it also underscored growing concerns about AI's impact on creative industries and labor markets. Market participants are closely watching AI-driven productivity gains and potential disruptions to traditional sectors. The summit's discussions may influence investor sentiment and tech sector positioning, particularly in AI-related equities and ETFs. Data flows and sentiment indicators could reflect increased

volatility as AI adoption accelerates and regulatory scrutiny intensifies.

Read more: <https://reason.com/2026/05/06/a-dispatch-from-the-ai-psychosis-summit/>

Reason

MoneyFlare Launches Powerful Fully Automated AI Trading Bot to Unlock New Opportunities in Crypto and Stock Trading

MoneyFlare has launched a fully automated AI trading bot designed for both crypto and stock markets. The bot leverages AI algorithms and quantitative trading models to identify and capitalize on market opportunities continuously. This automation aims to enhance trading efficiency and potentially improve returns by executing trades based on data-driven insights without human intervention. The integration of professional team management suggests ongoing optimization and risk management. This development reflects growing adoption of AI-driven strategies in trading, potentially impacting market flows and positioning as more participants deploy automated systems.

Read more: <https://www.globenewswire.com/news-release/2026/05/06/3289255/0/en/MoneyFlare-Launches-Powerful-Fully-Automated-AI-Trading-Bot-to-Unlock-New-Opportunities-in-Crypto-and-Stock-Trading.html>

GlobeNewswire

BitsStrategy Launches Breakthrough AI Quant Trading Bot to Help Users Join Automated Crypto Trading More Easily

BitsStrategy has launched an AI-powered Quant Trading Bot aimed at simplifying automated crypto trading. The bot integrates AI analysis with quantitative strategies and automated execution, targeting reduced manual intervention and lower entry barriers for users. This innovation could enhance market participation by enabling more efficient trade execution and strategy deployment in the volatile crypto space. While specific data points or asset focus were not disclosed, the tool's emphasis on automation and AI-driven decision-making aligns with growing trends in quant trading and algorithmic market flows. This development may influence crypto market liquidity and positioning as adoption increases.

Read more: <https://www.globenewswire.com/news-release/2026/05/06/3289252/0/en/BitsStrategy-Launches-Breakthrough-AI-Quant-Trading-Bot-to-Help-Users-Join-Automated-Crypto-Trading-More-Easily.html>

GlobeNewswire

VDC and RSPS Take Different Routes to the Same Sector

The article compares two ETFs, VDC and RSPS, both targeting the consumer staples sector but employing distinct strategies. VDC emphasizes broad diversification and higher yield, potentially offering more stable income streams but with varied sector exposure. Conversely, RSPS concentrates on sector giants with lower expense ratios, aiming for cost efficiency and focused exposure to leading companies. These differing approaches influence risk profiles and return potential, with VDC possibly appealing to income-focused investors and RSPS to those prioritizing cost and market leadership. The analysis highlights how fund structure and cost impact sector investment outcomes.

Read more: <https://www.fool.com/coverage/etfs/2026/05/07/vdc-and-rsps-take-different-routes-to-the-same-sector/?tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

FTAV's further reading

The article from Alphaville covers a diverse range of topics including knitting, chart naming conventions, browser preferences like Chrome, Ethiopian runners, NYT Cooking, market bubbles, and AI developments. While it touches on market bubbles and AI, it does not provide specific financial data points, price action, policy updates, or detailed flow and positioning information relevant to market or quant analysis. The content appears more thematic and broad rather than focused on actionable market insights or quantitative data. Therefore, it holds limited direct relevance for market participants seeking data-driven financial news.

Read more: <https://www.ft.com/content/52dcaa18-2e04-498f-8331-d2f3922e2e90>

Alphaville

American healthcare costs drive global imbalances

American healthcare costs significantly contribute to global economic imbalances by inflating the U.S. current account deficit. The high and rising expenditure on healthcare services, which are largely non-tradable, increases domestic prices and reduces U.S. competitiveness internationally. This dynamic leads to persistent trade deficits and capital inflows, impacting global capital allocation and currency valuations. The article highlights the role of healthcare spending as a "dark matter" factor in global financial flows, influencing market positioning and policy considerations around trade and fiscal sustainability. Investors and policymakers should monitor healthcare cost trends as a key driver of U.S. external imbalances and related market risks.

Read more: <https://www.ft.com/content/631ad342-c8ce-46e4-a3fb-d19edbd30b3e>

Alphaville

■ AI & Finance

Google DeepMind Gets Into Gaming, Purchases Stake in the Company Behind EVE Online

Google DeepMind has acquired a stake in CCP Games, the developer behind the MMORPG EVE Online, signaling a strategic move into AI-driven gaming experiences. This partnership aims to leverage DeepMind's AI capabilities to innovate gameplay, potentially impacting user engagement and in-game economies. The collaboration may influence digital asset valuations and virtual goods markets, relevant for quant strategies focused on gaming and tech sectors. Market participants should monitor developments for shifts in gaming industry dynamics and AI adoption trends. No immediate price action noted, but the alliance underscores growing AI integration in entertainment.

Read more: <https://gizmodo.com/google-deepmind-gets-into-gaming-purchases-stake-in-the-company-behind-eve-online-2000755297>

Gizmodo.com

Talk Python to Me: #547: Parallel Python at Any Scale with Ray

The podcast episode discusses Ray, an open-source Python framework used for parallel and distributed computing, notably employed by OpenAI during GPT-3 training. Ray originates from Berkeley research, sharing lineage with Apache Spark, and is designed to scale Python workloads efficiently across clusters. Its adoption highlights the growing importance of scalable, parallel processing frameworks in AI model training and data-intensive financial applications. Quantitative finance professionals can leverage Ray to accelerate backtesting, risk simulations, and large-scale

data processing. The framework's ability to handle complex orchestration without custom solutions may influence future market data infrastructure and algorithmic trading systems.

Read more: <https://talkpython.fm/episodes/show/547/parallel-python-at-any-scale-with-ray>

Talkpython.fm

Talk Python to Me: #547: Parallel Python at Anyscale with Ray

The podcast discusses Ray, an open-source Python framework used by OpenAI for training GPT-3, highlighting its origins from the Berkeley research lab that also developed Apache Spark. Ray facilitates parallel and distributed computing, enabling scalable machine learning workflows without building custom orchestration layers. This framework's adoption underscores the growing importance of efficient, scalable data processing tools in AI development. For quants and market analysts, Ray's capabilities can enhance large-scale data analysis and model training, improving speed and efficiency in quantitative research and algorithmic trading strategies.

Read more: <https://talkpython.fm/episodes/show/547/parallel-python-at-anyscale-with-ray>

Talkpython.fm

■ Quant Keywords & Mini-Glossary

Positioning — [The current allocation or exposure of market participants to various assets or sectors.]

Volume Spikes — [Sudden increases in trading volume indicating heightened market activity or interest.]

Market Flows — [The movement of capital into and out of markets or asset classes affecting prices and liquidity.]

Volatility — [A measure of the degree of variation in asset prices over time, indicating risk or uncertainty.]

Risk Premium — [Additional expected return demanded by investors for taking on higher risk.]

Safe-Haven Assets — [Assets expected to retain or increase value during market turmoil or geopolitical risk.]

Earnings Guidance — [Company-provided forecasts about future earnings influencing investor expectations and pricing.]

Credit Rating — [An assessment of a company's creditworthiness affecting borrowing costs and investor confidence.]

Debt Servicing Capacity — [A company's ability to meet its debt obligations from operating income.]

Risk Sentiment — [The overall attitude of investors toward risk-taking in the market.]

Yield Curve — [A graph showing interest rates across different bond maturities, reflecting economic expectations.]

Interest Rate Adjustments — [Changes in benchmark rates by central banks impacting borrowing costs and asset valuations.]

Momentum — [The tendency of asset prices to continue moving in the same direction over a period.]

Price Action — [The movement of an asset's price over time used for technical analysis.]

Market Manipulation — [Illegal or unethical actions to artificially influence asset prices or trading volumes.]

Insider Information — [Non-public, material information about a company or event used for trading advantage.]

Automated Trading — [Use of algorithms and AI to execute trades without human intervention.]

Quantitative Trading Models — [Mathematical models used to identify trading opportunities and manage risk.]

Liquidity — [The ease with which assets can be bought or sold without affecting their price.]

Order Flow Imbalance — [Disparity between buy and sell orders that can signal price movements.]

Backtesting — [Testing trading strategies on historical data to evaluate performance.]

Sentiment Indicators — [Metrics derived from market data or news to gauge investor mood.]

Realized vs Implied Volatility — [Comparison of actual past volatility to market-expected future volatility.]

Term Premium — [Extra yield investors require for holding longer-term bonds versus short-term ones.]

Convexity — [Measure of the curvature in the relationship between bond prices and yields, affecting interest rate risk.]